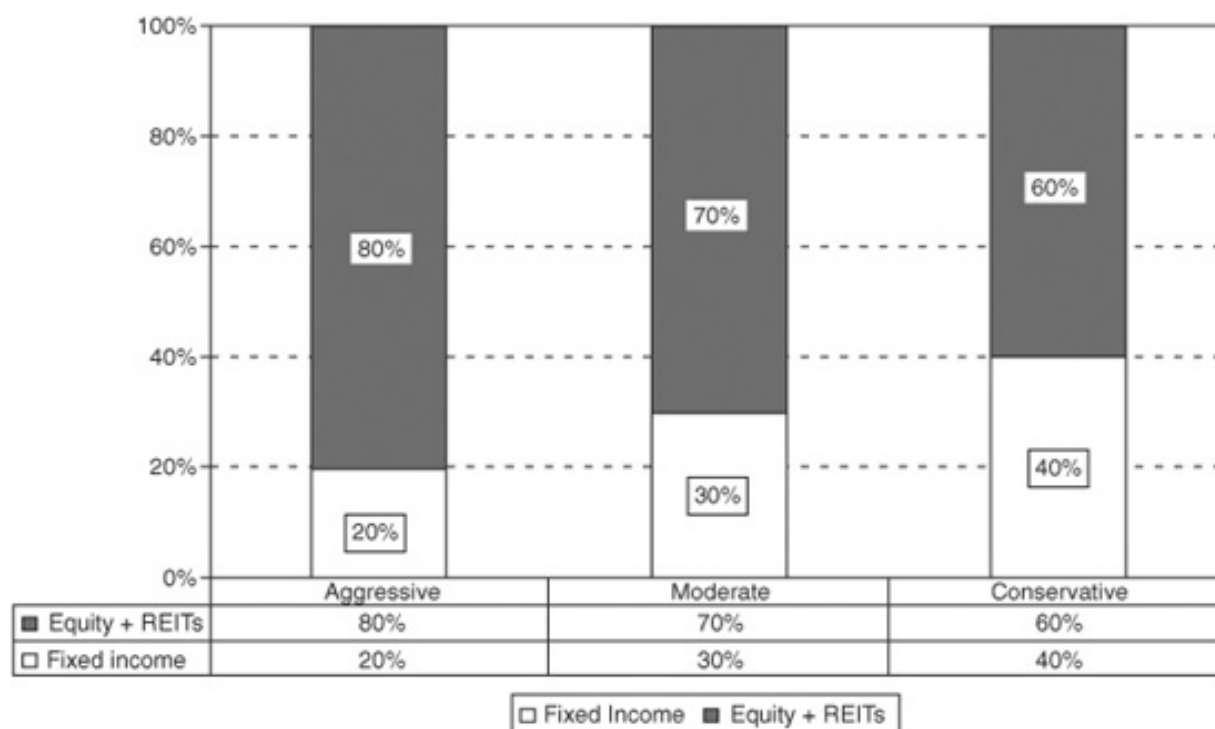




Early Savers—Asset-Class Categories

TABLE 12-1

Early Savers—Moderate Basic Portfolio (open-end mutual funds or ETF version)

Asset Class	Percent	Sample Low-Cost Funds and Symbols
U.S. equity	40%	Vanguard Total U.S. Stock Market Index (VTSMX) or Vanguard Total U.S. Stock Market ETF (VTI)
International equity	20%	Vanguard Total International Portfolio (VGTSX) or Vanguard FTSE All World ex-U.S. ETF (VEU)
Real estate	10%	Vanguard REIT Index Fund (VGSIX) or Vanguard REIT ETF (VNQ)
Fixed income	30%	Vanguard Total Bond Market Index Fund (VBMFX) or Vanguard Total Bond Market ETF (BND)

Once a strategic asset allocation between stocks and bonds has been decided on, the next step is category allocation. The two portfolios shown in Tables 12-1 and 12-2 highlight a basic asset allocation and a multi-asset-